

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

External auditor appointment

The audit committee should monitor and review Wong & Co's independence, objectivity, and effectiveness in the audit process. As Wong & Co and Wilson Wong have long been appointed as the audit firm and engagement partner of Natural Beauty for audit engagement, the audit committee should consider if there are any familiarity threats with Wong & Co and if an audit firm rotation is required. In addition, as Wilson has been the engagement partner of Natural Beauty's audit since the IPO, the audit committee should discuss with Wilson if he is due for partner rotation and should identify an appropriate future candidate who may succeed him as audit partner.

The audit committee should also seek information from Wong & Co on an annual basis on their processes for maintaining independence and monitoring compliance with relevant requirements, including any applicable requirement on rotation of engagement team members.

Since Wong & Co have been providing continuous professional support and advice to Natural Beauty in terms of internal control and operation effectiveness improvement, the audit committee should ensure there are appropriate policies on engagement of Wong & Co to render non-audit services. These policies should take into account relevant ethical guidance regarding the provisions of non-audit services by the external audit firm. The audit committee should report to the board, identify any matters in respect of what actions or improvements it considers as needed, and make recommendations as to the steps to be taken.

The audit committee should review the audit and non-audit fee summary provided by Wong & Co on an annual basis and consider and discuss with Wong & Co as well as the management if the provision of the non-audit services by Wong & Co may bring any conflict or impair the independence of Wong & Co as the auditor of Natural Beauty.

The audit committee is also responsible for making recommendations to the board on the appointment, reappointment, and removal of Wong & Co, and to approve the remuneration and terms of engagement of Wong & Co.

Answer 1(b)

Notification to shareholders about the acquisition of the subcontractor

As the subcontractor acquisition was considered as a major acquisition under the Hong Kong Listing Rules, the shareholders' approval is required for this transaction. The audit committee has the responsibility to ensure that adequate and appropriate information is disclosed in the company's circular for shareholders to understand and assess the proposed transactions before their approval.

Answer 1(c)

Integration between Natural Beauty and the subcontractor after the completion of the acquisition

The audit committee is responsible for reviewing the company's internal controls, including controls over financial reporting and risk management systems. Following the completion of the acquisition, Natural Beauty and the subcontractor must integrate and align the processes and controls as well as the use of IT systems. The audit committee has a responsibility to monitor the integration between Natural Beauty and the subcontractor. For example, the audit committee should discuss with management the proposed integration plan and the possible risks identified by management and the related management's response in addressing the identified risks. The audit committee should also inquire of the responsible management the progress of the integration and if there are internal control-related matters identified during the integration. If there are internal control matters that have arisen during the integration, the audit committee should discuss and assess with management the related impact to the company and possible remediation plans.

Answer 2(a)

The inventory balance of Natural Beauty as at 31 December 2020 amounted to HK\$1,283 million, representing 13% of the total assets of Natural Beauty, which is considered as a significant financial statement line item.

The inventory balance increased slightly by HK\$43 million, or 3% compared to the prior year end, which is possibly consistent with the increase in trade payable of HK\$38 million and the increase in revenue for the year by 5%. More inventory, including raw materials, are stocked for product expansion.

The risk of material misstatements relating to inventory in terms of existence, completeness and rights and obligations are low. This is because full stock counts are carried out in the manufacturing plants and stores at each year end with sample checks performed by the finance team. Instances of stock variance were investigated by management before adjustments were made to the stock ledger. The prior year's audit results did not reveal any control deficiencies relating to stock count. Though certain raw materials are stored at the factory of the subcontractor, reconciliation of raw materials used by and stored with the subcontractor is performed on a monthly basis. Variances, if any, are followed up directly by the general manager of Natural Beauty with the factory manager of the subcontractor. Unexplainable variances in the past are minimal.

The risk of misstatements in terms of inventory valuation is also low as the overall profit margin of Natural Beauty's products is up to 70% and discounted sales are not frequent. The inventory turnover of Natural Beauty's products is high and there are no aged inventories.

However, the risk of material misstatements in terms of accuracy is high. This is because there were internal control deficiencies on improper recording of raw material purchase cost identified in the prior year's audit results.

Answer 2(b)

The relevant audit procedures should include the following:

- Understand from management their remediation actions put in place to rectify the control deficiencies regarding improper recording of raw material purchase cost and the status of the implementation of this remediation;
- Understand from management if there are changes of processes and controls relating to the recording of raw materials purchased;
- Perform a walkthrough test if there are changes of processes and controls relating to the recording of raw materials purchased in the year;
- Evaluate and validate the key controls relating to the recording of raw materials purchased;
- Perform a test to agree the raw materials cost to the purchase invoice and other related records;
- For labour costs incurred, agree relevant costs to wage records and reconcile labour hours to time summaries;
- Understand from management how the standard cost is calculated for each of the products by examining the respective bills of materials ("BOM");
- Test the reasonableness of the BOM by comparing the current standard costs to the previous year after considering current year conditions;

- Review standard labour costs in light of actual costs and production;
- Compare actual manufacturing overhead costs with budgeted or standard manufacturing overhead costs;
- Understand management's allocation basis of labour and manufacturing overhead cost to inventories at the year end; and
- Assess whether management's basis for allocating labour and manufacturing overhead cost to inventories is reasonable, and test whether management has been allocating the related costs using this basis.

Answer 3(a)

I agree with Wong & Co's assessment conclusion.

The risk of material misstatement relating to the research and development expenses and intangible assets of Natural Beauty is high in terms of completeness and accuracy. The reasons for this are listed below:

Though there is a new research and development centre set up in Japan developing natural skin care products for aged groups during the year, the research and development cost for the year ended 31 December 2020 significantly decreased compared to the prior year by HK\$197 million, and HK\$310 million in intangible assets was recognised as at 31 December 2020. This may be due to certain development costs having been capitalised by Natural Beauty during the year.

However, as Natural Beauty has just started to capitalise on the development costs relating to certain new products to be released this year, there may not be an appropriate accounting policy as well as processes set up relating to development cost capitalisation. The current setup of the system may also be unable to support the capitalisation. This may increase the risk that the related development costs may not be capitalised accurately in accordance with the relevant accounting policies.

Answer 3(b)

The relevant audit procedures should include the following:

- Obtain from management their accounting policy on the capitalisation of development costs;
- Understand from management their processes and controls on recording research and development costs and capitalisation of development costs;
- Understand from management how the system captures the research and development costs allocated to different products under development;

- Inspect invoices to verify expenditure incurred on research and development;
- Confirm that capitalised development costs relating to each product under development conform to HKAS 38 *Intangible Assets* criteria by inspecting the details of product development projects and via discussion with production managers;
- Inspect the source documents to ensure that the development expenses are directly attributable to the creation, production, and preparation of the new products to be released;
- Obtain from management the estimates of future economic benefits of each new product under development;
- Review and test the process used by management to develop these estimates;
- Evaluate data and consider the assumption on which the estimate is based, for example, by comparing estimates made for prior periods with actual results of those periods; and
- Review management's approval process for the capitalisation of development costs and the development of estimates of the future economic benefits of each new product under development.

Answer 4(a)

I disagree with the audit manager's audit proposal. Additional audit procedures should be performed to assess the reliability of the representation made by the group financial controller. The other relevant audit procedures should include the following:

- Make appropriate inquiries of management and others within Natural Beauty, apart from the group financial controller, including the board of directors, audit committee, in-house legal counsel, etc.;
- Review minutes of meetings of those charged with governance and correspondence with external legal counsel;
- Examine legal expenses accounts;
- Perform internet searches for whether there are any publicly disclosed litigation cases relating to Natural Beauty;
- Perform litigation searches against Natural Beauty; and
- Arrange and obtain legal letters from external legal counsel, if any.

Answer 4(b)

The possible management's processes and controls include the following:

- Set up regular communication within Natural Beauty on exchanging information about possible litigation among legal counsel, finance team, and other departments such as sales, purchase, human resources, etc.;
- In case there is possible litigation, the finance team work with legal counsel and other relevant departments to assess the financial impact of the possible litigation;
- Management discusses the case with external legal counsel and seeks external legal opinions; and
- The board of directors discusses and reviews the impact analysis relating to the possible litigation.

Answer 5

The relevant audit procedures include the following:

- Obtain from management their rotational stock count plan to check (i) if all stores are included in the stock count plan; and (ii) how often stock counts are performed on each store;
- Examine if the written stock count procedures exist and assess if the stock count procedures are reasonably and clearly written;
- Inquire management when the store stock count procedures commenced;
- Examine the stock count briefing session minutes and the attendant list to assess if the briefing session existed and if every store manager attended the session;
- Interview with the store staff and store managers to assess if they fully understand the stock count procedures including the follow up procedures if stock variance is identified;
- Understand from management how stock list is generated for each count;
- Attend and observe the store count carried out by the store staff;
- Attend and observe the sample count carried out by the finance department;
- Inquire management whether large discrepancies were found in the stock counts;
- Obtain and examine from management the stock count variance follow-up results and the relevant documents;

- Ask and understand how store managers investigate the stock count variance;
- Ask and understand how the general manager examines the reasonableness of the stock count variance;
- Examine the approval record by the general manager after he/she understands and reviews the stock count variance; and
- Obtain from management the stock ledger adjusted records in case stock variance is identified and examine if the stock ledger is properly adjusted based on the approved stock count variance investigation results.

* * * END OF SECTION A * * *

Answer 6

- (a) Regarding the 7 confirmations with disagreements, the audit team should not net off the discrepancies as they have not confirmed the nature of these discrepancies. Instead, they should investigate these discrepancies by enquiring the management. The audit team should inspect any underlying documents to support management's explanation. If errors are concluded, the audit team should evaluate if they are material and whether management should make adjustments.
- (b) Regarding the 2 confirmation replies that did not indicate whether they agreed or disagreed with the balances, the audit team should not treat these as confirmed balances. Rather, the audit team should discuss with the management and identify any other ways to contact these two Lolieo customers to see if they can respond and indicate if they agreed or disagreed with the balances. If this is not successful, the audit team should perform alternative procedures on these confirmations.
- (c) For the 5 confirmations returned that indicated wrong addressees or that no such entities existed, before performing alternative procedures the audit team should investigate why the senders' addresses are wrong. They should discuss with the management how to obtain correct addresses and reperform the confirmation procedures. The audit team should ensure the explanations made by management are reasonable and supported by valid evidence.

In addition, the alternative procedures performed by the team are considered inappropriate. They checked Lolieo's invoices, which are relatively less reliable because invoices are internally generated information. The audit team should obtain more objective evidence, such as evidence for any monthly statement issued by Lolieo's customers or documentation of the monthly reconciliation with its customers.

- (d) Regarding the material non-replied confirmation, the audit team should not test samples of the transactions which comprised the whole balance, instead, they should test all the transactions which comprise the balance due from this customer.
- (e) Regarding the 19 non-replied confirmations, it is not appropriate for the team to argue that these balances are individually small, therefore justifying not performing any follow-up work. Confirmation procedures are part of the substantive procedures which require the audit team to test each selected individual balance. Accordingly, the audit team should follow up on these 19 non-replied confirmations and perform alternative procedures to confirm the balances.

Answer 7

To: Audit Partner
From: Audit Manager
Date: Exam Date

Subject: Evaluation of any existence of material uncertainties relating to going concern for Strong Steel Pipes Limited and Wind Mobile Phones Limited and impacts on the respective auditor's reports.

The audit team has considered that the going concern is appropriate, and adequate disclosure has been made by the management in the financial statements, thus, the audit team concludes that an unmodified audit opinion is made. Nevertheless, based on the events and conditions of Strong Steel Pipes Limited and Wind Mobile Phones Limited, I have provided the below evaluation of whether material uncertainties relating to going concern existed at the reporting date and how it may affect the respective auditor's report.

According to *HKSA 570 (Revised) Going Concern*, the auditors should obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements, and to conclude, based on the audit evidence obtained, whether a material uncertainty exists about the entity's ability to continue as a going concern.

Strong Steel Pipes Limited ("Strong")

The sluggishness of the market environment and the continuous loss sustained by Strong indicated that Strong may be suffering tight cash flows these years which will, perhaps, worsen in future years. The financial position of the current year is worse because Strong recorded a net current liabilities position and negative cash flows. These circumstances indicate that Strong may have a severe liquidity problem, which casts doubt on its ability to continue as a going concern.

Since no affirmative evidence could be obtained from the bank and the sales of the new product did not have any track records, it is uncertain whether Strong is able to obtain the new loan and whether the sales could be materialised in the next twelve months. This indicates the existence of material uncertainties which may cast significant doubt on Strong's ability to operate under a going concern.

Therefore, we should include a separate section titled "Material Uncertainty Relating to a Going Concern" in the audit's report to refer readers to the related disclosures to the financial statements.

Wind Mobile Phones Limited ("Wind")

The tariff policy caused Wind to suffer an unexpected loss margin. The impact from the tariff is so significant that it caused Wind to record a net current liabilities position and negative cash flows during the year. Further, the tariff policy is beyond the control of management and it may worsen in the future. These events and circumstances cast doubt on Wind's ability to continue as going concern.

However, no material uncertainties existed in Wind because there was affirmative evidence from the shareholders' capital injection which could adequately provide additional working capital to meet the shortfall. According to *HKSA 570 (Revised) Going Concern*, it is not required to include any separate section relating to going concern in the report.

Answer 8(a)

There are familiarity and self-interest threats if Gao acts as the audit engagement partner of Kooi for the 2020 audit. Gao acted as the engagement quality review partner of Kooi in his old firm for seven years (2013 to 2019). Although he was not the audit engagement partner during the last seven years, his role as engagement quality review partner, who participated in the audit and concurred engagement with the partner's judgement, makes him a key audit partner. Kooi is a public interest entity. In accordance with the Code of Ethics for Professional Accountants section R540.5, an individual cannot be a key audit partner for more than seven years. If Gao serves as audit engagement partner (being a key audit partner) for Kooi's 2020 audit, it will be his eighth year serving the same audit client and he will violate the cooling off requirement.

Answer 8(b)

Fang acted as the tax review partner in his old firm and was responsible for the tax review for audit purpose. His involvement in the audit was to act as an internal expert to assist the engagement partner concluding tax-related matters. Generally, a tax review partner is not considered as a key audit partner. Accordingly, although he participated in the audits of Kooi for seven years in his old firm, he is not subject to any cooling off requirements. Fang can act as the tax review partner for Kooi's 2020 audit.

Answer 8(c)

Since the independence threats of Gao being the audit engagement partner of Kooi are so significant, although the auditor's report will be issued by a different firm, the objectivity of Heng & Co to audit Kooi's 2020 financial statements will be compromised. Heng & Co can only accept the audit engagement by removing Gao as the audit engagement partner. Gao cannot act as any other role which is perceived to be a key audit partner (such as independent partner) in this engagement. If there is no other partner from Heng & Co who can take up the audit of Kooi, Heng & Co should not accept this engagement.

Answer 9(a)

Easy should establish the following general controls and measures with respect to system privilege users:

- Restrict only a few IT team members to be privilege users. No other staff should be designated as privilege users due to segregation of duties.
- Apply password protection to the program and data.
- Document all program logs and data alternation.
- Privilege users are required to obtain authorisation from senior supervisors for any program changes and data alternation.
- Perform regular or surprise physical inspections of program changes and data alternation by senior supervisors.

Answer 9(b)

The IT team should establish three different standardised formulae in the system to calculate interest income based on the repayment method acknowledged by the customer (electronically) in the system. In addition, for specific situations such as early repayment, change of repayment terms, and default in payments during the loan tenure, the IT team should establish a specific formula to calculate the interest income for each of these specific situations. Only authorised IT personnel can create and amend these formulae in the system. For each type of interest calculation, the finance team should test the monthly interest income generated from the system by reperforming the interest income calculation based on the respective formula. The finance team should also verify the integrity of the data and check the completeness of transactions being posted with the underlying contracts. With respect to the fully settled loans during the year, the finance team should additionally test and check the total interest income recorded by the system and agree to the respective terms. In addition, management should perform a periodic analytical review to analyse the correlation between the interest income and the different loan portfolio.

Answer 9(c)

Easy can establish the following controls in the system to monitor its credit risk:

- Set a loan amount limit;
- Set a maximum repayment term;
- Categorise different risk pools of borrowers and establish different loan limits and repayment terms to respond to the different risk levels;
- Establish a database to identify borrowers with default history and create an alert that is sent to the loan department prior to granting approvals; and
- Prepare a loans receivable ageing report for management to follow up overdue loan repayments on a timely basis.

* * * END OF EXAMINATION PAPER * * *